

Calderwood Partners LLC

www.calderwoodpartners.com

May 8, 2010

Sandra Flores
Chief Operating Officer
Poole, Mcknight and Rush

Re: Supply Chain Review for Poole, Mcknight and Rush

Dear Ms. Flores:

This letter sets out the terms on which we will review the supply chain of Poole, Mcknight and Rush. The question is a plain one: where the movement of materials, inventory, and orders costs more than it should, and what it would take to bring that cost down without putting service at risk. It follows our meetings this spring and the operating figures your office sent afterward. It states what we will do, who will do it, what we will need from you, and the commercial terms that govern the work. When you have countersigned and returned one copy, this letter is the agreement between us.

What the Review Covers

We will examine the supply chain end to end, from purchasing through inbound freight, warehousing, inventory, and order fulfillment to your customer. The work has three parts. The first is a baseline of how goods and cost actually move today, built from your purchasing records, your inventory data, and your freight and warehouse costs. The second is a diagnosis of where the money and the delay collect: the buffers held against uncertainty, the freight paid to recover lost time, the handling that adds nothing. The third is a set of recommendations, each one sized and sequenced, for taking that cost out. We will tell you what to change, in what order, and what the change is worth.

Some matters sit outside this review and are available separately if you want them. We will recommend changes to suppliers, terms, and stocking policy; we will not negotiate with your vendors or place orders on your behalf, and the decisions on people and contracts remain yours. Selection or installation of planning and warehouse systems, and any tax or customs restructuring, are not within our scope. Where our work runs up against a question we are not engaged to answer, we will say so plainly rather than answer it by assumption.

How We Will Proceed

We begin with your own records rather than a model carried in from another company. In the first weeks we build the cost and flow baseline, walk two or three of your sites, and interview the people who run purchasing, planning, and the warehouses, so that every figure we later put in front of you can be traced to

one your staff already recognizes. From that base we frame the options and test each against your service commitments before any of them reaches you as a recommendation. Work begins on May 18, 2010, and we expect the review to run about four months from that point.

The Team

Michael Walker, Engagement Manager, runs the review day to day and is your point of contact for schedule, data, and site access; he is the person to call when something needs to move. Deborah Gordon, Associate, leads the analysis and the drafting of the findings. Daniel Leach, Research Associate, assembles and reconciles the operating data and is the one your finance and logistics staff will work with directly on the numbers. I review the analysis and the recommendations before they reach you, and I am accountable to you for the quality of both.

Fees and Payment

Our fee for the review is \$62,000, fixed for the scope described above. We invoice monthly for the work performed in the preceding month, and each invoice is payable within thirty days of its date. Reasonable travel and out-of-pocket expenses are billed at cost and shown separately. Work beyond the scope of this letter is not undertaken on assumption; if you ask us for something this letter does not cover, we will price it and agree it with you before we begin.

Term and Termination

This agreement takes effect on the date you sign below and continues until we deliver the final report and you have paid the final invoice. Either party may end it on thirty days' written notice to the other. On termination you will pay us for the work performed and the expenses incurred through the effective date, and we will hand over our work product in the state it then stands, together with a short written account of where the review had reached.

Confidentiality

We will hold the information you give us in confidence and use it only for this review. Access is limited to the team named above and to those in our office whose work requires it. We will not disclose your information outside the firm without your written consent, except where a court or a regulator with jurisdiction compels it, and in that event we will tell you first if we are permitted to. The obligation survives the end of the engagement.

Limitation of Liability

Our liability to you arising out of this engagement, whether framed in contract or in tort, will not exceed the total fees you pay us under it, except in the case of our fraud or willful misconduct. Neither party will be liable to the other for indirect or consequential loss, including lost profits, whether or not the possibility

was made known. Our analysis rests on the accuracy and completeness of the information you provide; we will test what we reasonably can, but we do not audit it.

Governing Law

This agreement is governed by the laws of the state in which our principal office is located, without regard to its conflict-of-laws rules. Before either party begins proceedings, we will try to settle any dispute by discussion between senior representatives of the two sides. This letter is the entire agreement between us on its subject and may be amended only in writing signed by both.

If these terms match your understanding, please sign both copies where indicated, keep one for your file, and return the other to me. If any part of them does not, telephone me and we will settle it before you sign. We are glad to be taking on this work, and the team looks forward to getting started with your people at Poole, Mcknight and Rush.

Very truly yours,

Julie Ramsey

Managing Principal

Date: May 8, 2010

Sandra Flores

Chief Operating Officer, Poole, Mcknight and Rush

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